

Micron Technology, Inc.

MU NASDAQ

Buy

\$1078.59 ▲ 1.27%

12M Price Target
\$1250.00

52-Week Range
\$179.61 – \$1255.00

Market Cap
\$1.22T

MU: Memory Scarcity Story Gets Real, Customers Panic-Buying

WHAT HAPPENED

- Micron printed a blowout earnings number and guided to \$61.5B in revenue — but the stock barely moved yesterday because expectations were already sky-high (that's what "a high bar" means in the headline — when stocks run this hard into earnings, even great results aren't enough to pop the stock further).
- The REAL story today: customers are reportedly trying to lock in DRAM supply **5 years out**. That's unprecedented and tells you the AI memory shortage isn't a cyclical blip — it's structural. Samsung popped 2.8% in sympathy because the whole memory complex is tight.

WHY IT MATTERS

When your customers are begging for product five years in advance, you have pricing power most companies dream about — this means MU's margins likely keep expanding through 2027 and the old "memory is a boom-bust commodity" narrative is officially dead for this cycle. The flat reaction to blowout earnings isn't bearish, it's just the market digesting a 6x move off the 52-week low (\$179 to \$1,078) — profit-taking is natural here. The unusual call buying at \$1,050, \$1,070, and \$1,100 strikes (over \$150M in notional) tells me big money is betting on another leg higher into year-end, probably positioning for the next hyperscaler capex announcements. Watch for: any Nvidia or hyperscaler commentary about HBM allocation — that's the real tell on whether this run continues.

POLICY & POLITICAL WATCH

MU is a massive beneficiary of the CHIPS Act — they've already been awarded roughly \$6.1B in federal grants for their Idaho and New York fabs, and the Trump administration's recent push to tie semiconductor policy to tariffs on Chinese chips is a net positive (it protects domestic memory makers). Watch the ongoing export control debates — any tightening on advanced memory sales to China is a double-edged sword (hurts near-term revenue but entrenches MU's position with Western AI customers). The bigger political tailwind: both parties agree domestic semiconductor manufacturing is a national security priority, so the subsidy and tax credit regime is one of the few bipartisan safe havens in Washington right now.

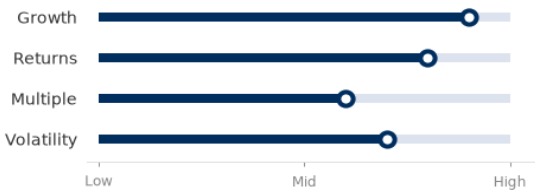
IS IT EXPENSIVE?

At ~\$1,078 with forward EPS around \$19-20, you're paying roughly 54x this year's earnings and ~18x EV/EBITDA — that's not cheap, but it's not insane either when revenue is growing 40%+ and HBM margins are structurally higher than legacy DRAM. Translation: investors are paying \$54 for every \$1 of profit, which is a bet that earnings keep ripping higher. The valuation is justified ONLY if the AI memory cycle lasts 2-3 more years — if it rolls over in 2027, this multiple compresses hard.

Key Data

Price (USD)	\$1078.59
12M Price Target	\$1250.00
Upside / (Downside)	+15.9%
Market Cap	\$1.22T
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$61,500M
FY2026E EPS	\$14.20
FY2027E EPS	\$19.80
Fwd P/E	54.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1180.00	\$1110.00	\$980.00
6 Months	\$1350.00	\$1200.00	\$900.00
1 Year	\$1500.00	\$1250.00	\$850.00
2 Years	\$1800.00	\$1400.00	\$750.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$3500.00	\$2200.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.04% today, +1.58% week) and Energy — tech is riding the AI capex wave and benefiting from easing bond yields (lower rates = higher valuations for growth names). Energy is popping on supply dynamics.

COOLING OFF: Consumer Staples and Consumer Discretionary — classic defensive names getting left behind as money rotates into risk assets. That's a "risk-on" signal.

ROTATION WATCH: Money is clearly flowing into AI-levered semis as the "memory scarcity" narrative crystallizes — Micron is now the cleanest way to play the supply-constrained side of AI (vs. Nvidia on the demand side).

RELATED PLAY: If you believe MU's story, look at memory equipment makers (Lam Research, Applied Materials) — they sell the picks and shovels to Micron's fab expansion and benefit from every CHIPS Act dollar deployed.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king of AI compute — every HBM shortage story is bullish for Nvidia pricing power on GPUs.
- AVGO (Broadcom): Riding custom AI chip wins with hyperscalers, benefiting from the same capex wave lifting MU.

MU CONTEXT: Micron has actually been one of the top performers in semis over the last 6 months (up ~6x from the 52-week low) — it's leading, not lagging. That tells me the market has finally woken up to memory being the bottleneck in AI, and MU is getting re-rated from "cyclical commodity player" to "AI infrastructure essential."

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The 5-year-out customer demand data is the most bullish signal I've seen in this sector in a decade, but I'm not at 10 because the stock has already run hard.

POSITION SIZE: 3-5% of portfolio — this is a core AI holding but the volatility (84% of 52-week range) means you don't want to be overexposed if sentiment shifts.

ENTRY POINTS: I'd scale in on pullbacks to \$1,000-1,050. Avoid chasing above \$1,100 unless there's a fresh catalyst like a major hyperscaler supply deal announcement.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is HBM4 ramp confirmation in 2027 and continued hyperscaler capex upgrades.

WHEN TO BAIL: If any top-3 hyperscaler cuts capex guidance by 15%+, if HBM pricing shows cracks on the next earnings call, or if the stock breaks below \$900 on heavy volume.

HEDGING: Buy out-of-the-money puts as insurance (think of them as a cheap crash policy), or pair the long with a short in a weaker memory peer to isolate the MU-specific upside.